

Document 11: Tier 1 — GATES (Market → Sector → Stock) + Event Calendar Gate

Tier 1 is your **non-negotiable** filter layer.

If Tier 1 fails, **NO TRADE**, even if Tier 2/3 scores look amazing.

This document is structured exactly in the flow you asked for:

✅ Market → Sector → Stock → Event Risk → Final Gate Output

1) Overview

- Tier: 1 (Gates / Hard Filters)
- **Purpose:** Prevent trades when:
 - Market regime is hostile
 - Sector is not supportive
 - Stock is in a "wrong environment"
 - A major event can invalidate technical edge

- **Output:**
 -  **PASS** → proceed to Tier 2 scoring
 -  **WAIT** → monitor conditions; do not enter yet
 -  **BLOCK** → no trade; log reason

Important: Tier 1 is designed to reduce false positives.

Even a "Whale Confirmed" S6 signal can fail if the market environment is wrong.

2) Tier 1 Gate Stack (Precedence Order)

Gate order matters. This is your strict evaluation sequence:

1. **G1 — Data Integrity Gate** (no bad/partial data)
2. **G2 — Market Regime Gate** (Index Context)
3. **G3 — Market Structure Gate** (Index SMC/OB/Liquidity/Structure)
4. **G4 — Sector Regime Gate** (Sector Strength + Rotation Context)
5. **G5 — Stock Eligibility Gate** (Liquidity/Universe/Tradability)
6. **G6 — Event Calendar Gate** (Results/Macro/RBI/Global risk)
7. **G7 — Correlation Shock Gate** (Index volatility / gap risk) *(optional but recommended)*

If any gate = BLOCK → stop immediately.

G1 — Data Integrity Gate (Hard Gate)

Why it exists

Your framework is data-driven. Bad data = wrong signals.

PASS criteria

- EOD data available for:
 - Price (O/H/L/C)
 - Volume
 - Delivery (where applicable)
 - Trades / value (if used in S6 microstructure)
- No missing or zero values where they shouldn't be
- Adjusted volume logic (block/bulk filtering) not producing nonsense values

WAIT/BLOCK criteria

- **WAIT:** Missing one non-critical field (e.g., trade count) but price/vol/delivery are correct
- **BLOCK:** Missing critical fields (price or volume) or obvious corruption (e.g., delivery% > 100)

Output examples

     Plain Text

- 1 G1 PASS: Valid EOD for OHLC, Volume, Delivery.
- 2 G1 WAIT: Trades data missing; continue with reduced S6 confidence.
- 3 G1 BLOCK: Volume missing/zero -> cannot score framework reliably.

G2 — Market Regime Gate (Index Context) (Hard Gate)

This decides whether the overall market is:

- Trending (momentum-friendly)
- Reversal-ready (mean reversion opportunities)
- Choppy (trap zone)

What you evaluate (Index level: Nifty + relevant broad index)

- Index in HTF Demand/Supply zone? (Monthly/Weekly)
- Index volatility regime (high shock vs normal)
- Index structure state (expanding, contracting, distribution)

PASS / WAIT / BLOCK logic

 PASS when:

- Index is near **HTF demand** (for bullish bias) or near **HTF supply** (for bearish bias), OR
- Index is trending clean with structure confirmation

 WAIT when:

- Index is mid-range (no HTF zone nearby) and choppy
- Conflicting signals (e.g., weekly bullish but daily breakdown)

 BLOCK when:

- Index is in opposite HTF zone against your intended direction
 - Example: you want bullish swings but index is sitting inside **Monthly supply**
- Extreme volatility / event shock day that destroys structure (gap-risk)

Practical note (fits your style):

If the **market is not supportive**, even the best stock setup becomes lower probability due to correlation.

G3 — Market Structure Gate (Index SMC + Liquidity + Structure) (Hard Gate)

This is where your S4 + S5 logic is applied at the **index level**.

What you check on Index:

- Index liquidity sweep status near key HTF levels
- Index BOS/CHoCH confirmation on HTF/LTF
- Whether index is likely to continue sweeping liquidity first

PASS / WAIT / BLOCK

✓ PASS if:

- Index has completed a sweep + reclaim (S4-like behavior) and shows structure shift (S5-like behavior)
- Or index is in clean continuation structure aligned with direction

⚠ WAIT if:

- Liquidity is visible and **not yet swept** (semi-gate concept, but at market level)
- Structure is unclear (no BOS/CHoCH)

✗ BLOCK if:

- Index shows failed BOS / breakdown against your intended direction
- Index is making lower lows with no reversal evidence (for long bias)

This is the "Don't fight the tape" gate.

G4 — Sector Regime Gate (Sector Strength + Rotation) (Hard Gate / Strong Gate)

This gate aligns perfectly with your "Market → Sector → Stock" scanning request.

Inputs

- Sector index trend/structure (IT, BANK, FMCG, AUTO, etc.)
- Relative strength vs Nifty (outperformance/underperformance)
- Sector-level delivery/participation (optional)
- Rotation context from S7 (FII flows if available)

PASS criteria

 **PASS** when:

- Sector is aligned with market direction OR showing early reversal signs at sector HTF demand/supply
- Sector peers broadly confirm (this links to Tier 3 Peer Convergence)

 **WAIT** when:

- Sector is neutral but stock is exceptional (rare; allow only if Tier 2/3 are very strong later)
- Sector is in consolidation and has not broken structure

✗ **BLOCK** when:

- Sector is structurally broken against intended trade direction
- Sector is inside HTF opposing zone (e.g., IT in Monthly supply; avoid longs)

Sector Gate Rule of Thumb

Prefer trading **with** sector tailwind; avoid isolated trades unless it's a special institutional footprint setup.

G5 — Stock Eligibility Gate (Tradability / Universe / Liquidity) (Hard Gate)

This ensures you don't waste signals on untradable names.

Eligibility checks

- **Universe:** Prefer Nifty100 (your "more realistic FII universe" rule)
- **Liquidity:** Adequate average volume / not illiquid
- **Options liquidity (if options strategies planned):** tight spreads, good OI (optional)
- **Price behavior:** avoid extremely manipulated penny-type behavior

PASS / WAIT / BLOCK

 PASS:

- Stock is liquid, tradable, clean spreads

 WAIT:

- Tradable but extended far from zones (you often prefer pullbacks)
- Corporate action / circuit-like behavior that distorts price action

✗ BLOCK:

- Illiquid stocks (signals unreliable)
 - Options illiquid (if strategy requires options)
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G6 — Event Calendar Gate (Hard Gate) (Planned enhancement you approved)

This gate prevents taking trades when an event can:

- cause gaps that invalidate structure
- distort delivery/volume
- create fake sweeps/BOS

Event types (practical list)

1. **Company events:** Results, guidance, major announcements
2. **Macro events:** RBI policy, inflation/CPI, GDP, budget-type events
3. **Global shock events:** major US Fed days, geopolitical escalation, crude shocks
4. **Index events:** rebalancing days, expiry weeks (optional)

Event Risk **Windows**

Use a simple, rules-based window:

- **High-risk event (results/RBI):**
 - **BLOCK** entries T-1 day and **event day**
 - **WAIT** until first post-event session closes (structure re-forms)
- **Moderate-risk macro (CPI etc.):**
 - **WAIT** on event day unless setup already mature with defined risk
- **Low-risk scheduled news:**
 - No block, but flag caution in alerts



PASS / WAIT / BLOCK

✓ PASS:

- No major event in the risk window
- Or event passed and market printed stable structure after it

⚠ WAIT:

- Event within 24–48 hours (depending on severity)
- Earnings tomorrow and setup is "almost ready"

✗ BLOCK:

- Earnings/RBI today or tomorrow and structure is not fully confirmed
- High gap risk that can skip stops/entries

Logging example

     Plain Text

- 1 G6 WAIT: Earnings tomorrow. Hold entry. Re-evaluate post-event close.
- 2 G6 BLOCK: RBI policy day + index volatile. Skip all swing entries.

G7 — Correlation Shock / Volatility Gate (Optional but Recommended)

This is an “environment guardrail”.

When to enable

- Index VIX/volatility is spiking
- Frequent large gaps
- Broad market risk-off (heavy distribution days)

Logic

- If market shock is active:
 - Shift from “EXECUTE” to “WAIT” mode
 - Prefer defined-risk structures (spreads) if you still trade

3) The Full Market → Sector → Stock Flow (Tier 1 Pipeline)

Here is your scan pipeline in a clean sequence:

Step 1: Market Gate

- Check Index HTF zones (Monthly/Weekly OB)
- Check Index liquidity sweep status
- Check Index structure (BOS/CHoCH)

=> PASS / WAIT / BLOCK

Step 2: Sector Gate

- Select top aligned sectors (trend or reversal-ready)
- Confirm rotation/relative strength

=> PASS / WAIT / BLOCK

Step 3: Stock Eligibility

- Universe filter (prefer Nifty100)
- Liquidity/tradability filter

=> PASS / WAIT / BLOCK

Step 4: Event Gate

- Earnings / macro / RBI window check

=> PASS / WAIT / BLOCK

If all PASS → move to Tier 2 scoring (S2–S6)

4) Tier 1 Output States (Standardized)

PASS

- Environment supports trading
- Proceed to Tier 2 scoring

WAIT

- Environment is not ready
- Send "conditions required" alerts

BLOCK

- Hard stop, do not score further
- Log the reason and skip

5) Recommended "Wait Conditions" Templates (Actionable)

When Tier 1 outputs **WAIT**, it must specify *exactly what needs to happen*.

Examples:

- **WAIT (Market):**
 - "Index must sweep liquidity at X and reclaim"
 - "Need CHoCH on daily or 4H before longs"
- **WAIT (Sector):**
 - "Sector needs BOS above range high"
 - "Peers must stop diverging"
- **WAIT (Event):**
 - "Wait for earnings; reassess next day close"

6) How Tier 1 Interacts with Your Core Rules

- Tier 1 is checked **before** S2–S6.
- If Tier 1 passes, then:
 - S2 finds zones
 - S4 confirms sweep
 - S5 confirms structure
 - S6 confirms institutions
- Tier 1 prevents:
 - Great setups taken into index resistance
 - Sector-unfriendly trades
 - Entries right before event gaps

7) Minimal "Gate Config" (Clean and Non-Overcomplicated)

If you want Tier 1 to stay lean (your preference), use only these 5:

1. Market HTF zone + structure
2. Sector alignment
3. Stock tradability
4. Event calendar
5. Data integrity

Everything else can remain as "notes".